FORMS OF BUSINESS OWNERSHIP

Before a business can hire, sell, or borrow, its founder has to answer a deceptively simple question: whose name is on it? Today we compare the legal structures entrepreneurs choose from — and what each one trades away.

WHAT YOU'RE GETTING FOR YOUR 50 MINUTES

6.1 Discuss the advantages and disadvantages of a sole proprietorship.

6.2 Discuss the advantages and disadvantages of a partnership and a partnership agreement.

6.3 Explain how different types of corporations are structured.

6.4 Explain the characteristics of nonprofit and not-for-profit organizations and cooperatives.

6.5 Discuss the different types of mergers and acquisitions.

Gold-outlined boxes are in-class activities — that's your cue to actually participate, not just read.

THE DEFINITION WE BUILD ON ALL CLASS

> **Business ownership structure.** The legal form a business takes, which determines who is liable for its debts, how it is taxed, and how it can raise money.

Chapter 4 took the business abroad. Chapter 6 starts from the beginning: what legal shape does a business even take before it can do any of that?

OBJECTIVE 6.1

Going it alone

The simplest way to start a business is to just... start it. That simplicity comes at a price.

> **Sole proprietorship.** A business owned by one person.
>
> *YOUR OWN EXAMPLE*

Advantages

- Easy to start
- Full control
- Simple taxes

Disadvantages

- Unlimited liability — the owner's personal assets are on the line
- Difficult to raise capital
- Business depends entirely on one owner

> **REAL-WORLD EXAMPLE**
> A freelance graphic designer or a single-owner food truck is almost always a sole proprietorship — fast to start, but the owner's personal savings and car are exposed if the business gets sued or can't pay its debts.

IN-CLASS DISCUSSION

Would you rather start a business alone as a sole proprietorship, or bring on a partner? What would make you choose one over the other?

NOTES · 6.1 GOING IT ALONE

OBJECTIVE 6.2

Two (or more) heads together

A partnership splits the workload — and the liability, and eventually, the disagreements.

Partnership. A business owned by two or more people.

YOUR OWN EXAMPLE

Advantages

- More capital available
- Shared workload
- Complementary skills across partners

Disadvantages

- Shared profits
- Potential conflicts between partners
- Unlimited liability in a general partnership

What a partnership agreement should cover

- Capital contributions from each partner
- Responsibilities of each partner
- How profits and losses are shared
- How partners are added or removed

Two types worth knowing

General partnership. All partners share management responsibility and unlimited personal liability for the business's debts.

YOUR OWN EXAMPLE

Limited partnership. Combines at least one general partner (full liability, full control) with limited partners who invest capital but have limited liability and limited say in management.

YOUR OWN EXAMPLE

NOTES · 6.2 TWO (OR MORE) HEADS TOGETHER

OBJECTIVE 6.3

Building a corporation

A corporation is a legal person of its own — separate from the people who own it.

> **Corporation.** A separate legal entity, owned by shareholders, that can own property, enter contracts, sue, and be sued in its own name.
>
> *YOUR OWN EXAMPLE*

Advantages

- Limited liability for owners
- Easier to raise capital by selling shares
- Continuous existence, independent of any one owner

Disadvantages

- More government regulations
- Greater costs to form and maintain
- Double taxation on C corporations

Three ways to structure it

Tap each to see how it differs.

01 **C Corporation**
The standard corporate form — profits are taxed at the corporate level, then again as dividends to shareholders (double taxation), but ownership is easiest to transfer and scale.

EX.

02 **S Corporation**
A corporation that elects to pass profits directly to shareholders' personal tax returns, avoiding double taxation, but with limits on the number and type of shareholders.

EX.

03 **Limited Liability Company (LLC)**
Combines the limited liability of a corporation with the pass-through taxation and flexibility of a partnership.

EX.

> **REAL-WORLD EXAMPLE**
> A publicly traded company like Apple is a C corporation — millions of shareholders, none personally liable for Apple's debts.

NOTES · 6.3 BUILDING A CORPORATION

OBJECTIVE 6.4

Ownership without shareholders

Not every organization exists to make its owners rich — some exist to make a difference, or to serve their own members.

Nonprofit organization. Operates for charitable, social, or educational purposes rather than to generate profit for owners, and may receive tax-exempt status.

YOUR OWN EXAMPLE

Cooperative. A business owned and controlled by its members, with profits returned to members based on how much they use the co-op's services.

YOUR OWN EXAMPLE

REAL-WORLD EXAMPLE
Habitat for Humanity is a nonprofit; REI, the outdoor gear retailer, operates as a member-owned cooperative that pays an annual dividend back to its members.

IN-CLASS ACTIVITY

Identify one not-for-profit organization and one cooperative. Find their financial statements — particularly their income statements — and briefly review them.

NOTES · 6.4 OWNERSHIP WITHOUT SHAREHOLDERS

OBJECTIVE 6.5

When companies combine

Sometimes the fastest way to grow isn't to build — it's to buy, or to join forces.

Merger. Two firms combine to form a single new company.

YOUR OWN EXAMPLE

Acquisition. One firm buys another, which may or may not continue to operate as a distinct brand.

YOUR OWN EXAMPLE

Why companies do it

- Synergy — the combined company is worth more than the two apart
- Growth — faster than building from scratch
- Competitive advantage over rivals

Five types of mergers

01 Horizontal
Two companies in the same industry and market combine — direct competitors joining forces.

EX.

02 Vertical
A company merges with a supplier or a distributor along its own supply chain.

EX.

03 Product extension
Companies with related but non-competing products combine to broaden the product line.

EX.

04 Market extension
Companies selling the same product in different markets combine to expand geographic reach.

EX.

05 Conglomeration
Companies in completely unrelated industries combine, usually to diversify risk.

EX.

DISCUSSION QUESTION

Can you think of a recent merger or acquisition in the news? What type was it, and why do you think the companies combined?

NOTES · 6.5 WHEN COMPANIES COMBINE

SPECIAL FOCUS

Choosing a structure: simple vs. formal

Every founder faces the same tradeoff: the simpler the structure, the less protection and access to capital it offers.

	Sole prop. / partnership	Corporation / LLC
Owner liability	Unlimited (personal assets at risk)	Limited to what the owner invested
Cost & paperwork to start	Low	Higher
Access to capital	Limited to owner(s) and loans	Can sell ownership stakes

DISCUSSION QUESTION

If you were starting a business today, which structure would you pick, and why?

NOTES · CHOOSING A STRUCTURE: SIMPLE VS. FORMAL

CHAPTER 6 · WRAP-UP

Closing the incorporation papers

Define each term in your own words. If you can do all of them without looking, you're ready for the quiz.

DEFINE THESE IN YOUR OWN WORDS

- **Sole proprietorship**
- **Unlimited liability**
- **Partnership**
- **General partnership**
- **Limited partnership**
- **Corporation**
- **C Corporation**
- **S Corporation**
- **LLC**
- **Nonprofit organization**
- **Cooperative**
- **Merger**
- **Acquisition**
- **Synergy**
- **Horizontal merger**
- **Conglomeration**

ACTIVITY MINUTE · BEFORE YOU LEAVE

Which key term from this chapter matters most, and why?

Your one biggest "aha" moment from today.

Which ownership structure would you choose for your own business idea?

TOTAL — 50 MIN · PAID IN FULL

Chapter 4 showed how a business competes across borders. Chapter 6 showed the legal shape it takes before it can compete anywhere at all — next, we look at how that business is actually run day to day.